

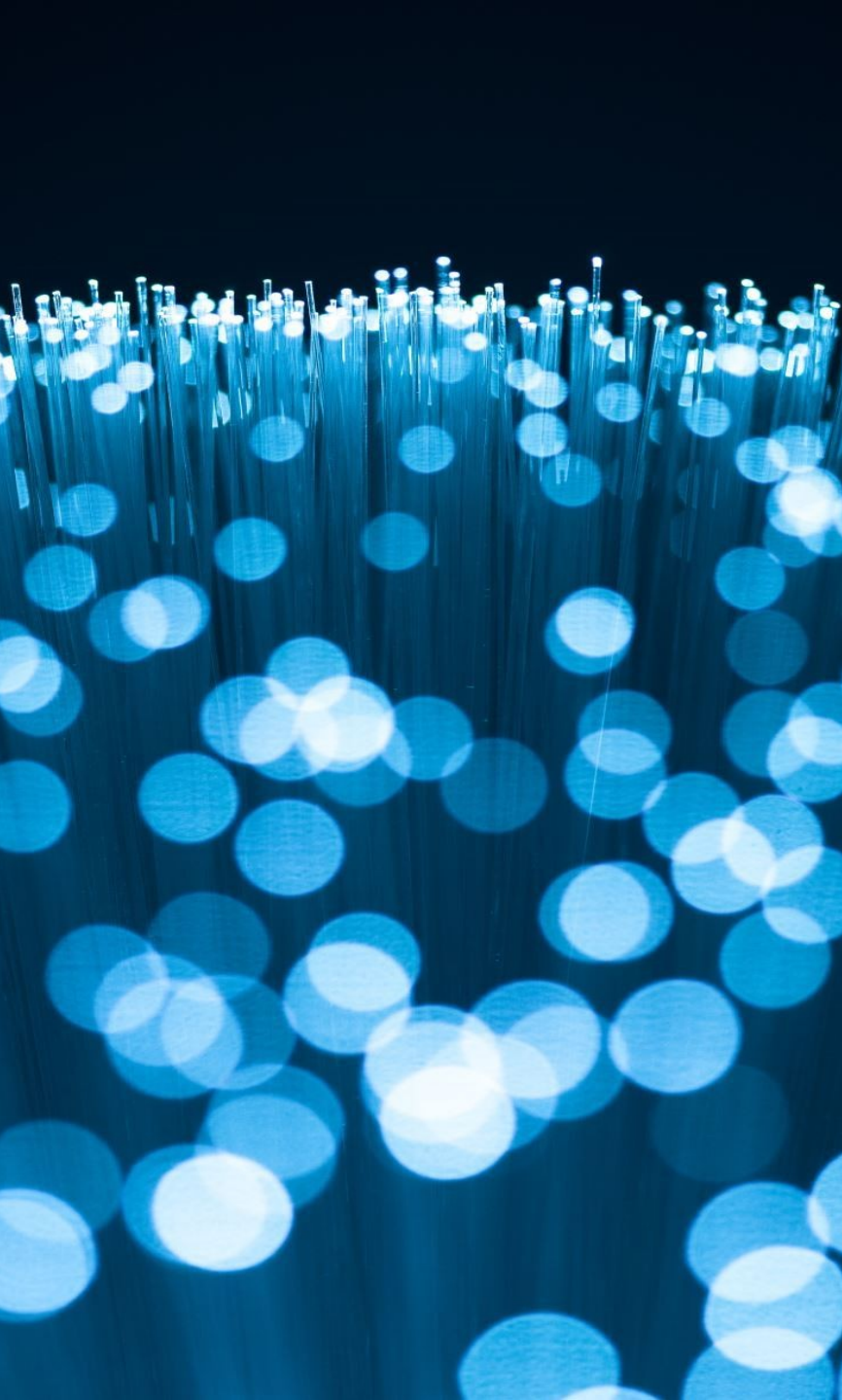


Common Pitfalls in GRC Program Execution

AVOIDING COSTLY MISTAKES TO ENHANCE GOVERNANCE, RISK, AND COMPLIANCE EFFECTIVENESS



GRC GATE TRAINING



Introduction to GRC Pitfalls

GRC is vital but its pitfalls are often underestimated

- Managing risks and meeting regulations can be undermined by common missteps

Organizations can stumble even with well-designed GRC programs

- Pitfalls can undermine strong internal controls and investments

Today we'll highlight common GRC missteps and remedies

- Discussion includes causes, avoidance, and practical strategies

Why GRC Programs Fail

GRC failures often stem from execution, not framework design

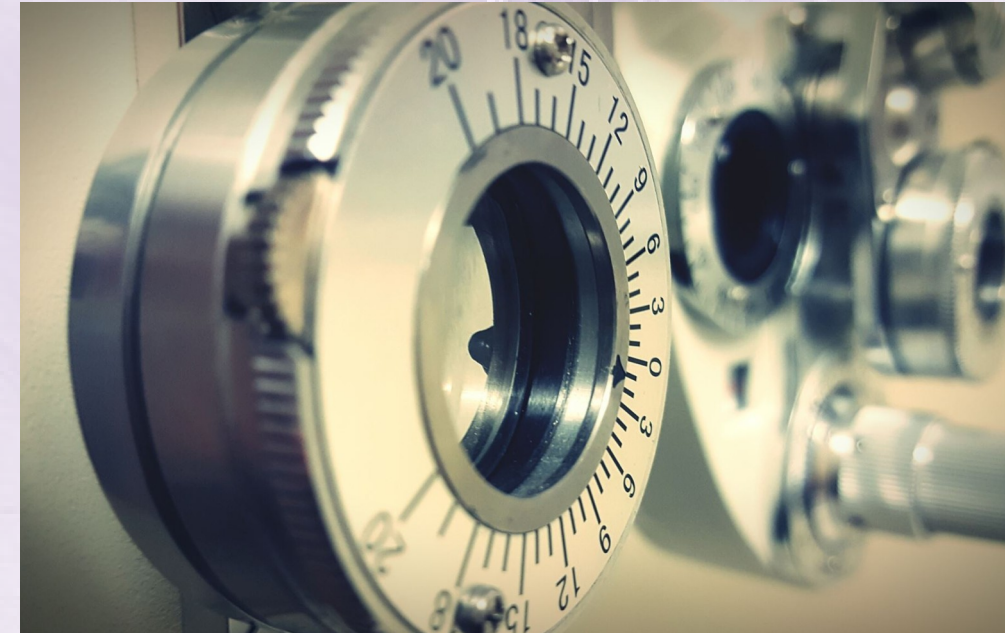
- The problem is typically in integrating frameworks into daily operations

Five frequent pitfalls derail GRC initiatives

- These include overcomplication, ignored change management, misalignment, neglected monitoring, and poor documentation

We will discuss each pitfall in depth

- Focus will be on causes and solutions for common GRC failures





Overcomplicating Processes Without Added Value

Excessive process layers create confusion and bottlenecks

- Example: a bank requires numerous forms, causing delays and errors

Misunderstanding necessary controls adds administrative burden

- Employees may bypass complex steps, undermining risk management

Solutions include process reviews and engaging end users

- Regular review, user feedback, and automation help streamline workflows

Ignoring Change Management and User Adoption

GRC programs fail if users don't understand or accept changes

- Lack of user buy-in leads to compliance gaps and penalties

Change management is a structured approach to transition

- Proper communication, engagement, and training are necessary

Monitor user adoption and reward positive behaviors

- Feedback mechanisms and recognition support successful change





Misalignment Between Governance Frameworks and Business Goals

GRC frameworks must align with organizational objectives

- Siloed GRC efforts can waste resources and miss opportunities

Frameworks should be chosen for fit, not popularity

- Tailoring controls ensures support for mission and risk appetite

Dialogue among leaders keeps GRC relevant and effective

- Regular discussions align GRC with business evolution

Neglecting Continuous Monitoring and Control Updates

Dynamics of business require ongoing risk assessment and updates

- Outdated controls lead to non-compliance and reputational risk

Modern tools support continuous monitoring of GRC

- Automated monitoring and dashboards help track changes

Incident learning and continuous improvement are crucial

- Reviewing incidents strengthens controls and fosters improvement culture





Inadequate Documentation and Evidence Handling

Documentation is vital for compliance and audits

- Missing records can lead to audit findings and penalties

Challenges arise with decentralization or poor document systems

- Disorganized evidence impairs compliance and stakeholder trust

Clear policies and digital document management systems help

- Assign responsibilities and use technology for secure, accessible records

The Interconnectedness of GRC Pitfalls

GRC pitfalls often occur simultaneously, not in isolation

- Overcomplicated processes can impair adoption and documentation

Framework misalignment impacts monitoring and controls

- Neglect leads to ineffective controls and weak compliance evidence

Holistic approach needed to address people, processes, and technology

- Focus on integrated solutions that create organizational value





Real-World GRC Pitfall Scenario

Multinational company rushed into complex GRC overhaul

- Complexity and lack of training led to employee overwhelm and low compliance

Audit struggles revealed need for streamlined processes and alignment

- Company failed to produce necessary evidence during audits

Improvements brought efficiency and stronger risk culture

- Streamlining, training, and documentation resulted in higher satisfaction and compliance

Key Lessons for GRC Program Success

Simplicity and clarity enhance engagement and reduce errors

- Streamlined processes help employees participate effectively

Supporting people through change is essential

- Communication and training create strong user adoption

Aligning frameworks and monitoring ensures compliance

- Alignment, ongoing reviews, and documentation underpin GRC success



Conclusion and Final Reflections

GRC pitfalls can be avoided with recognition and action

- Proactive attention builds resilient and adaptable programs

Lessons apply across all organizations and sectors

- Theory translates into practical, sector-wide improvements

